

ADBE

Adobe Inc.

Current Price: 244.10|MarketCap : 98.7B

Report Date: 2026-05-21

SCREENER SUMMARY

Score: 7/8 — Top Candidate

- F1 Gross Margin >40%

● F2 Net Margin >10%
- F3 FCF Conv >0.75x

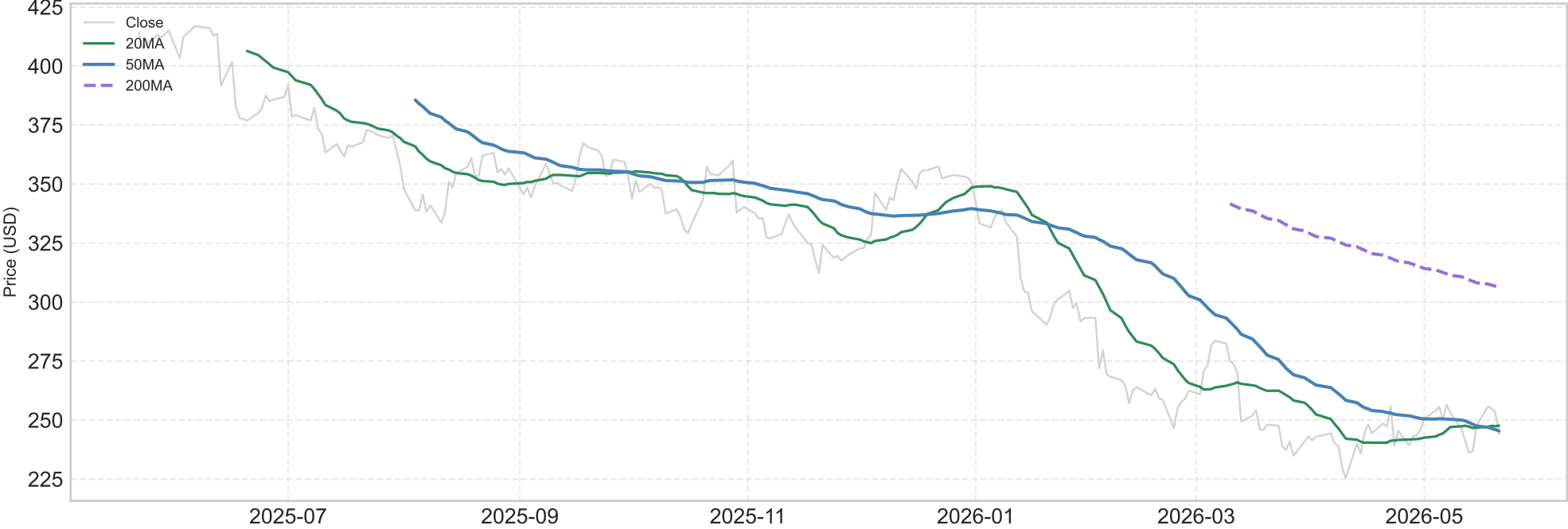
● F4 Rev CAGR >5%
- F5 D/E <2.0x

● V1 EV/EBITDA <25x
- T1 RSI <50

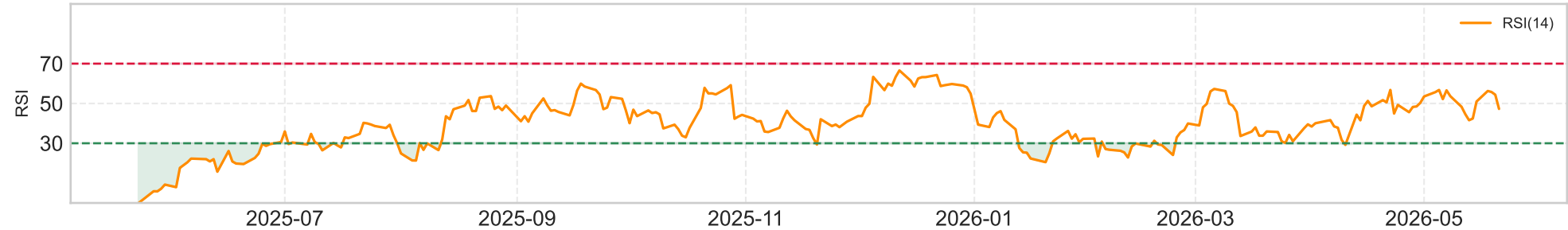
○ T2 No Death Cross

INVESTMENT ANALYSIS REPORT

ADBE — Closing Price with Moving Averages (1 Year)



RSI (14-day Wilder) — Current: 47.3 [NEUTRAL]

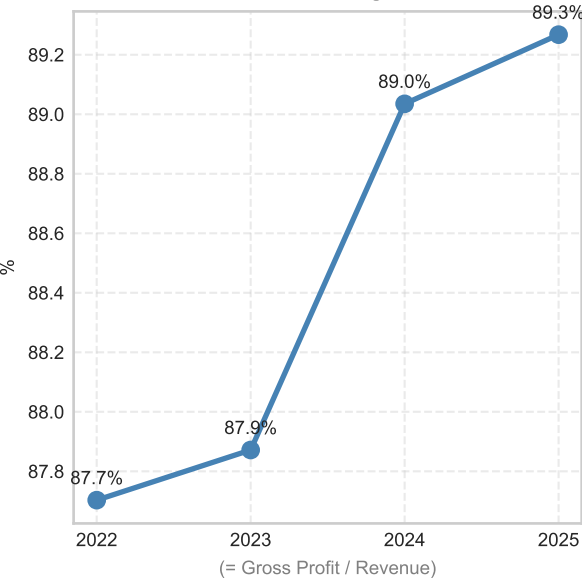


Metric A	Value A	Metric B	Value B
1-Year Cumulative Return	-41.09%	Annualised Volatility	32.2%
Best Single Day	6.55% (2026-04-13)	Worst Single Day	-7.58% (2026-03-13)
Current RSI	47.3 (NEUTRAL)	Death Cross Active	Yes

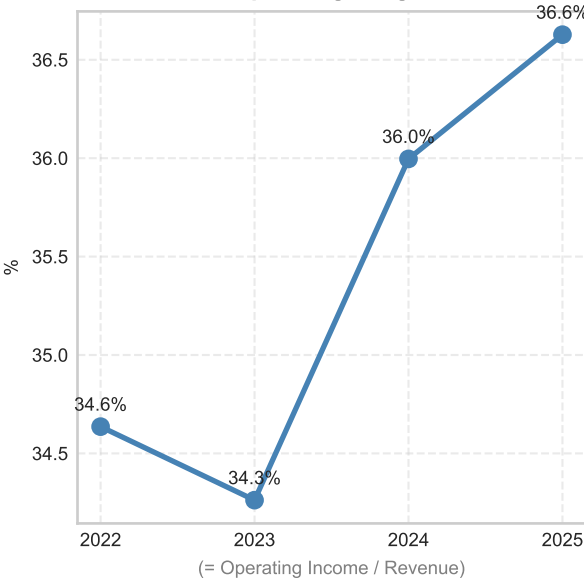
ADBE — Key Financial Statement Line Items (in \$B)

Line Item	FY2025	FY2024	FY2023	FY2022
Total Revenue (top line)	\$23.77B	\$21.50B	\$19.41B	\$17.61B
Gross Profit (= Revenue – COGS)	\$21.22B	\$19.15B	\$17.05B	\$15.44B
Operating Income (= Gross Profit – OpEx)	\$8.71B	\$7.74B	\$6.65B	\$6.10B
Net Income (= Op Income – Interest – Taxes)	\$7.13B	\$5.56B	\$5.43B	\$4.76B
Operating Cash Flow	\$10.03B	\$8.06B	\$7.30B	\$7.84B
Free Cash Flow (= OpCF – CapEx)	\$9.85B	\$7.87B	\$6.94B	\$7.40B
Capital Expenditure (negative = outflow)	\$-0.18B	\$-0.18B	\$-0.36B	\$-0.44B
Total Debt	\$6.65B	\$6.06B	\$4.08B	\$4.63B
Stockholders Equity	\$11.62B	\$14.11B	\$16.52B	\$14.05B

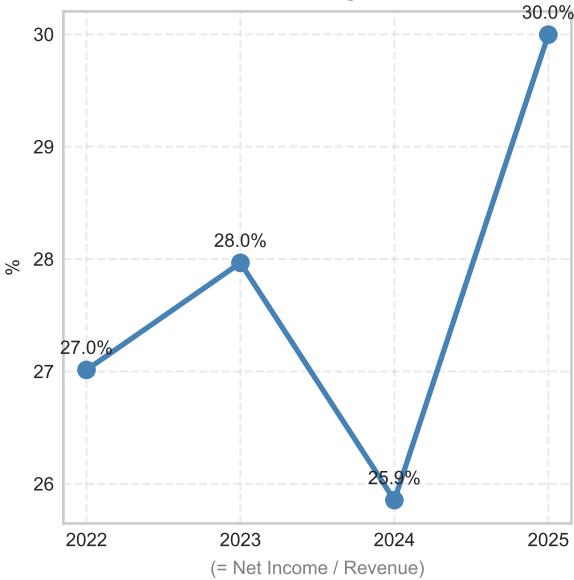
Gross Margin



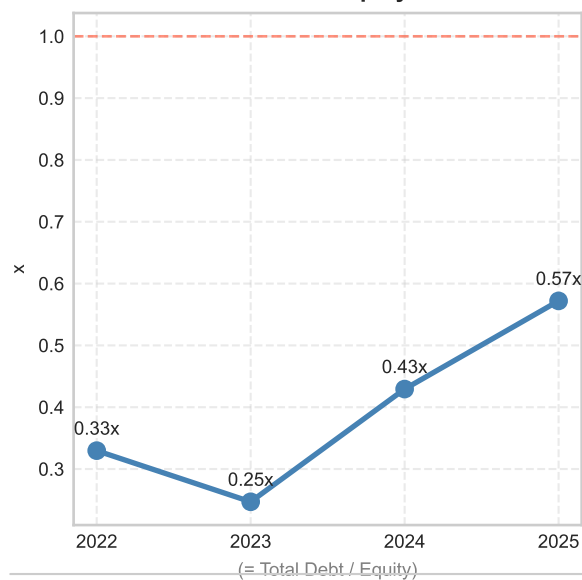
Operating Margin



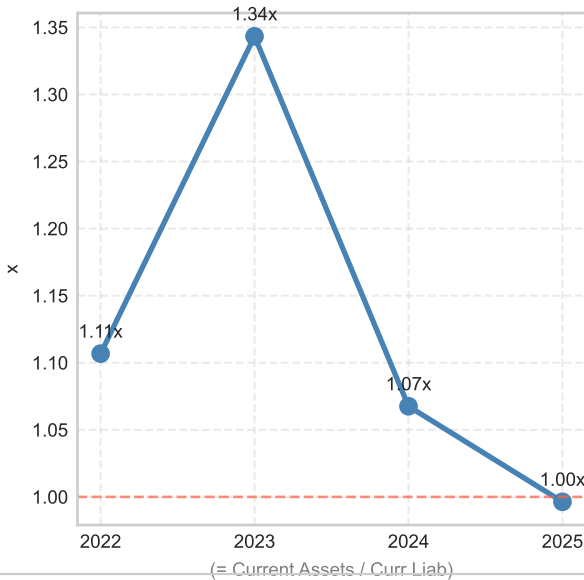
Net Margin



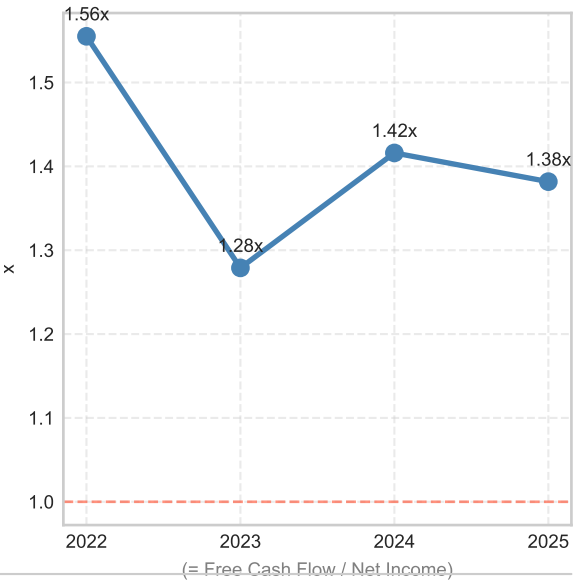
Debt to Equity



Current Ratio



FCF Conversion



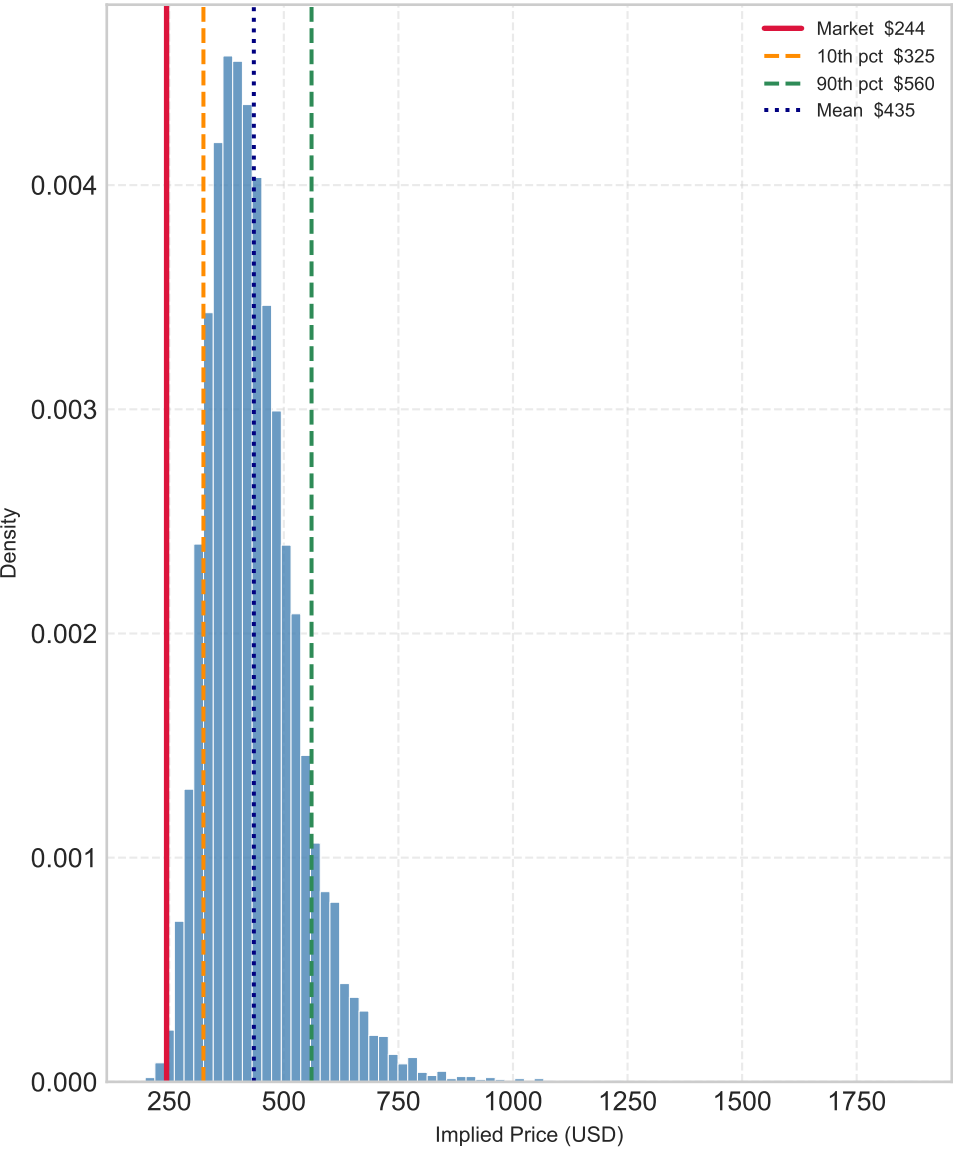
ADBE — Valuation (FY end: 2025-11-30)

P/E Ratio (Market Cap / Net Income)	13.8x
P/S Ratio (Market Cap / Revenue)	4.2x
EV/EBITDA (EV / EBITDA)	10.2x
—— DCF Inputs ——	
Base FCF (4-yr average)	\$8.02B
Historical FCF CAGR	10.0%
WACC	9.5%
Terminal Growth Rate	3.0%
—— DCF Output ——	
Terminal Value — Gordon Growth (Method 1)	\$204.84B
Terminal Value — Exit Multiple (Method 2)	\$161.08B
Blended Terminal Value (avg of M1 & M2)	\$182.96B
PV of FCFs	\$40.66B
PV of Terminal Value	\$116.22B
Implied Share Price	\$385.12
Current Market Price	\$244.10
DCF vs Market	+57.8% (UNDERVALUED)

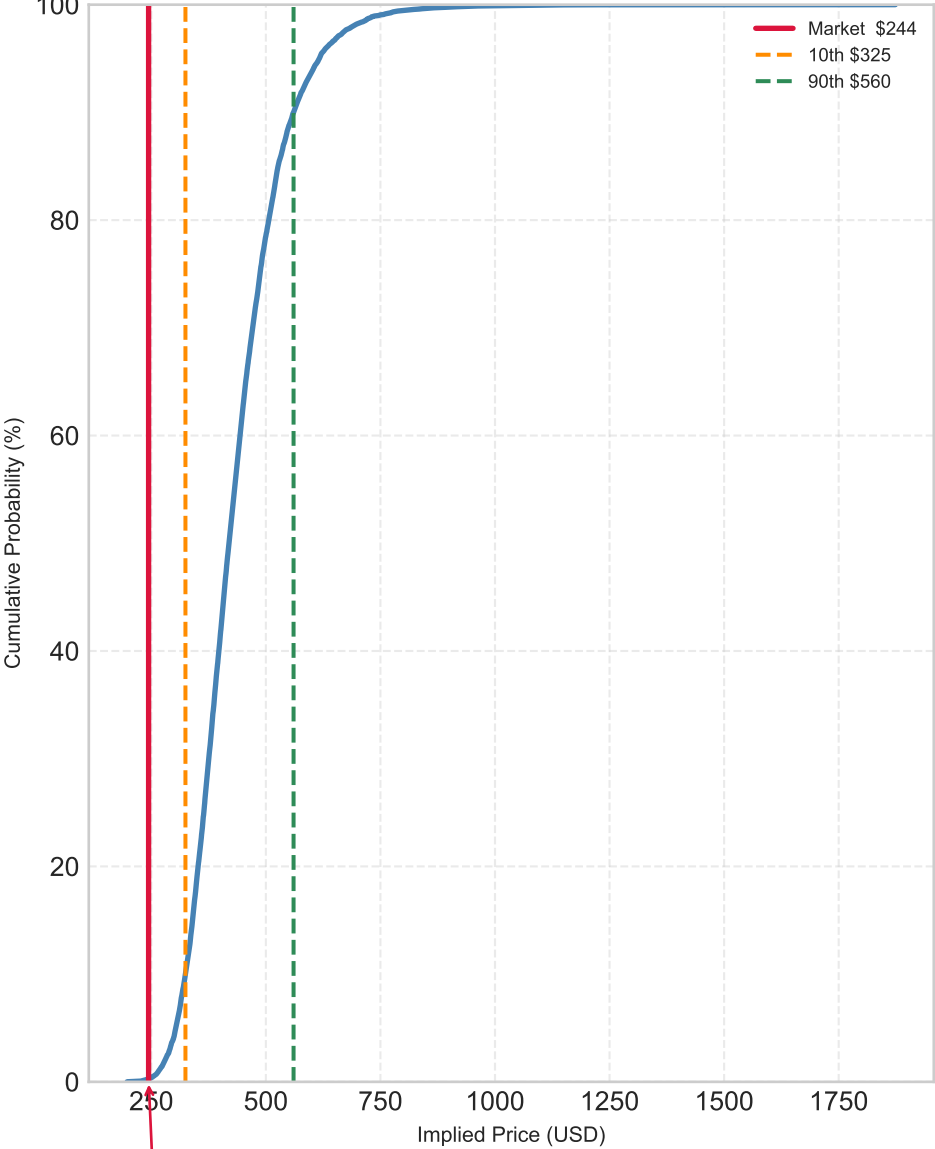
Sensitivity Table — Implied Share Price

	WACC 8%	WACC 9%	WACC 10%	WACC 11%
FCF -10.0%	\$221	\$186	\$161	\$142
FCF -8.0%	\$243	\$204	\$177	\$156
FCF -6.0%	\$268	\$225	\$194	\$170
FCF -4.0%	\$295	\$247	\$212	\$186
FCF -2.0%	\$324	\$270	\$232	\$204
FCF +0.0%	\$355	\$296	\$254	\$222
FCF +2.0%	\$388	\$323	\$277	\$242
FCF +4.0%	\$424	\$353	\$302	\$264
FCF +6.0%	\$463	\$385	\$329	\$287
FCF +8.0%	\$505	\$419	\$358	\$311
FCF +10.0%	\$550	\$456	\$388	\$338
FCF +12.0%	\$598	\$495	\$422	\$366
FCF +14.0%	\$650	\$537	\$457	\$397

Distribution of Implied Share Prices
(10,000 simulations)



Cumulative Distribution

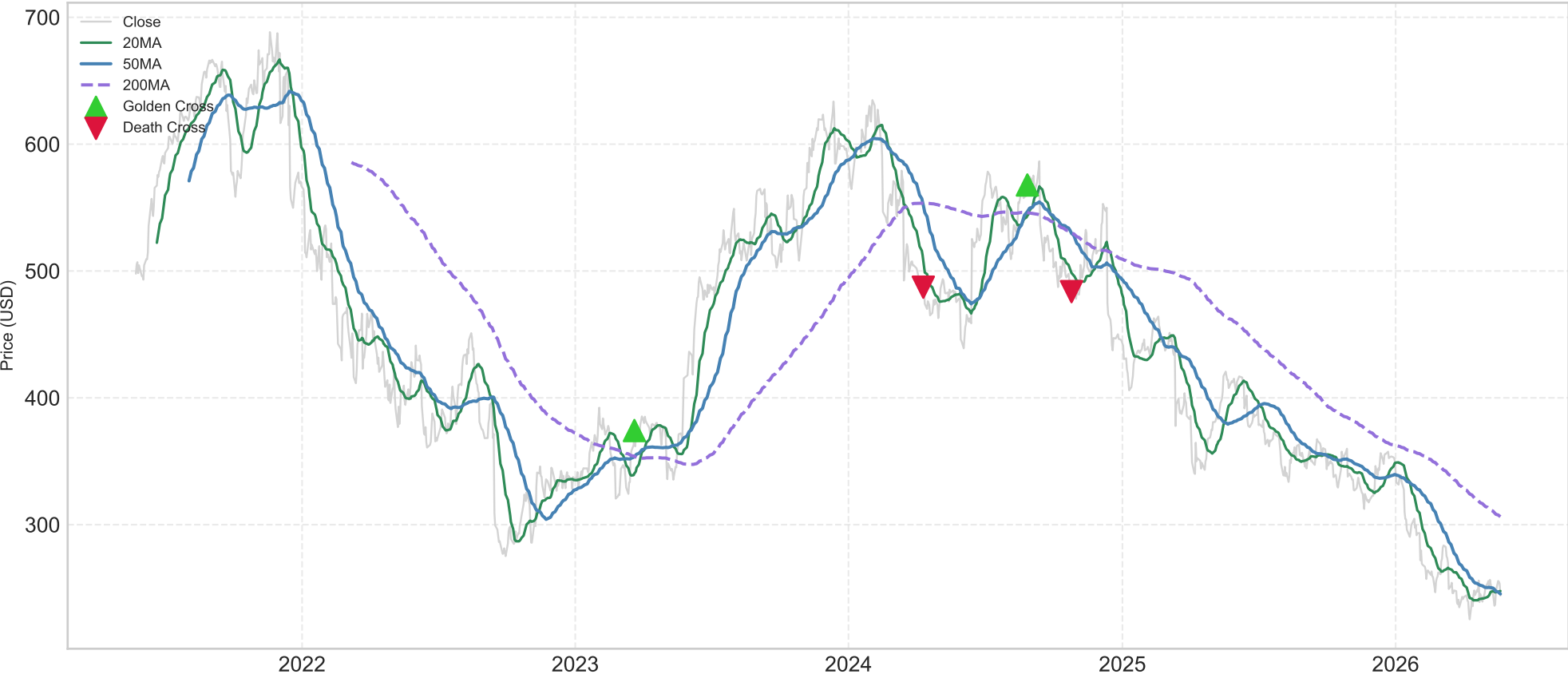


Mean: 434.50 Median : 419.41 10th: 324.51 90th : 560.44 P(Implied > market): 99.8%

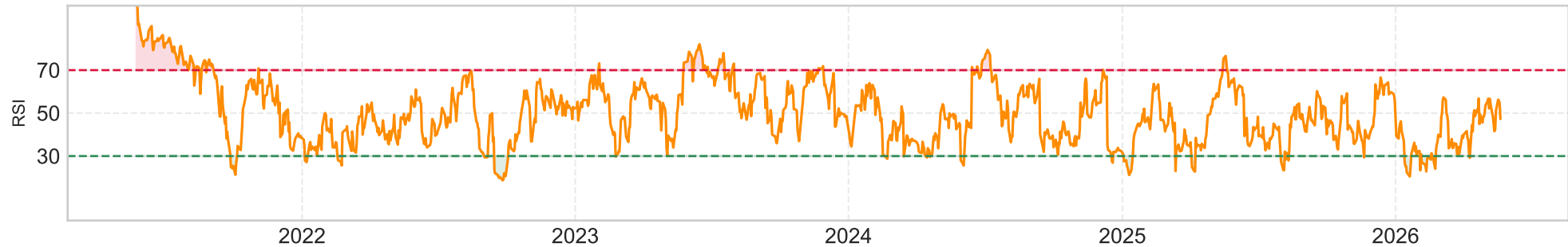
0.2% below
market price

FCF growth ~ N(10.0%, 3%) | WACC ~ N(9.5%, 1%) | Terminal g ~ N(3.0%, 0.5%)

ADBE — 2-Year Price with MAs & Crossover Signals



RSI (14-day) — Current: 47.3



Signal Status: DEATH CROSS ACTIVE — No entries permitted (trend filter)

EARNINGS CALENDAR

Next Earnings Date: 2026-06-11 | Days Until Earnings: 20

Forward EPS Estimate: \$26.39 (source: yfinance .info)

ADBE — Investment Summary

Metric A	Value A	Metric B	Value B
Current Price	\$244.10	1-Year Return	-41.09%
Annualised Volatility	32.2%	Current RSI	47.3 (NEUTRAL)
Gross Margin	89.3%	Operating Margin	36.6%
Net Margin	30.0%	Debt to Equity	0.57x
FCF Conversion	1.38x	Current Ratio	1.00x
P/E Ratio	13.8x	EV/EBITDA	10.2x
DCF Implied Price	\$385.12 (+57.8%)	Monte Carlo Median	\$419.41
P(Undervalued) MC	99.8%	Screener Score	7/8 — Top Candidate
Signal Status	DEATH CROSS ACTIVE — No entries permitted (trend		